

Cosmetics & Personal Care / Paper & Packaging Sector (Japan)

Examination of impact of improving situation in Middle East

On June 17, the US and Iran signed a memorandum of understanding on a tentative agreement to end hostilities, stabilizing the situation in the Middle East for the time being. Assuming the situation does not deteriorate, we believe positive factors for the earnings environments of Unicharm, Kao, and Lion next fiscal year are greater than those of other companies we cover. The following is an analysis of the impact of improvement in the Middle East situation on each subsector.

- **Personal care:** The manufacturing cost structures of Unicharm, Kao, and Lion are affected by crude oil market conditions to an extent. We estimate that it will take 4-6 months for input price fluctuations to be reflected in these companies' earnings. Accordingly, we expect the recent decline in crude oil prices to alleviate concerns about cost growth in FY2027. Furthermore, concerns about the sales environment in Unicharm's Middle East business will likely subside. However, there is an undeniable risk that profits could be pressured in 2H FY2026 by a pullback from household stockpiling demand and the high cost of inputs secured at inflated prices. We estimate the impact of a US\$1/bbl change in the crude oil price (annual basis) on Unicharm's core operating profit and Kao's operating profit at around ¥500-600 million, respectively, and on Lion's business profit at around ¥100-200 million.
- **Cosmetics:** While the worsening situation in the Middle East created a risk of supply shortages for packaging materials and some inputs for cosmetics companies, due to the low cost ratios, we believe the stock market had limited concerns compared with those it harbored for personal care companies. Accordingly, we expect the direct impact of the improvement in the Middle East to be limited. However, we think the sales environment could improve in the future through improved consumer sentiment and an increase in tourist numbers.
- **Paper & packaging:** Improvement in the situation in the Middle East could potentially strengthen the share prices of the paper & packaging companies we cover, as it would alleviate concerns about cost deterioration. However, given that major paper manufacturers were planning to raise prices from July-August, particularly for graphic paper, the current sharp drop in crude oil prices undeniably carries the risk that price negotiations will be harder. Furthermore, it might also delay the establishment of systems to pass on costs, including fixed costs, to product prices. We estimate the impact of a US\$1/bbl change in the crude oil price (annual basis) on Oji Holdings' and Nippon Paper Industries' operating profit at nearly ¥300 million, respectively, on Daio Paper's at about ¥100 million, and on Rengo's at about ¥10 million.

Japan Equity Research

Cosmetics and Personal Care / Paper and Packaging

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